

Customer Due Diligence Procedure

Know Your Customer and Anti-Money Laundering requirements for retail accounts and loans

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1. Purpose

This procedure explains how Harborview Community Bank identifies its retail customers, assesses the money-laundering and terrorist-financing risk each customer presents, monitors activity and reports suspicious activity. It implements the Bank's Bank Secrecy Act and Anti-Money Laundering Program and applies to every employee who opens an account, makes a loan or handles a customer's transactions, at all 18 branches and in the online and loan servicing channels.

2. Customer Identification Program

Before an account is opened or a loan is funded, the Bank must collect and verify four items of identifying information for every individual: full legal name, date of birth, residential street address and a taxpayer identification number (or, for a non-U.S. person, a passport or other government-issued number).

- Verify identity from an unexpired government-issued photo identification, and from a second source (a utility bill dated within 90 days, a bureau header or a documentary check) when the photo identification is not examined in person.
- Verification must be completed before the account is opened. If a branch cannot complete it the same day, the account stays in restricted status (deposits only, no debit card, no online transfers) and the restriction lifts only after verification. If identity cannot be verified within 30 days the account is closed and the funds are returned by check.
- Compare every new customer with the Office of Foreign Assets Control (OFAC) sanctions lists. A potential match is escalated to the BSA/AML Officer the same day and the account or loan is not opened until the match is cleared.

3. Customer risk rating

Every customer receives a risk rating at onboarding. The rating determines the level of due diligence and how often the customer's file is refreshed. Table 1 shows the three ratings.

Table 1. Customer risk ratings and review cycles

Rating	Typical customer	Due diligence	File review
Low	Salaried or retired resident, long relationship, activity in line with income	Standard Customer Identification Program	Every 5 years
Medium	Cash-intensive occupation, frequent international wires, new relationship with large deposits	Source of funds noted; transaction profile recorded	Every 3 years
High	Politically exposed person, non-resident, adverse media, prior suspicious activity report	Enhanced due diligence; senior approval to open or continue	Every 12 months

A rating is raised, never lowered, by a branch employee. Only the BSA/AML Officer may lower a rating, and only with a written reason.

4. Enhanced due diligence

Enhanced due diligence is required for every High-rated customer and whenever any of the following occurs: an account receives or sends more than \$50,000 in international wires in a calendar month; a customer cannot explain the source of a large cash deposit; two or more alerts on the same customer are confirmed in a 90-day period; or a customer is identified as a politically exposed person. Enhanced due diligence includes a documented source of funds and source of wealth, the purpose of the relationship, an expected activity profile, and the written approval of the Branch Manager and the BSA/AML Officer.

Legal-entity customers must, in addition, identify each individual who owns 25 percent or more of the equity and one individual who controls the entity, as the beneficial ownership requirement of the Customer Due Diligence Rule.

5. Transaction monitoring

The monitoring system reviews every account daily against rules for structuring, rapid movement of funds, unusual cash activity, and activity that departs from the customer's expected profile. Alerts are assigned to an analyst the next business day. An analyst must clear or escalate each alert within 10 business days and record the reasoning.

- **Currency transaction reports.** A report is filed with FinCEN for every transaction in currency of more than \$10,000 in one business day, aggregating the transactions of one customer across branches.
- **Structuring.** Splitting cash transactions to stay below \$10,000 is a federal offense and must be reported even when the customer says the amounts are unrelated. Staff may not advise a customer how to avoid a report.
- **Wires.** Outgoing international wires above \$3,000 require the beneficiary name, address and the purpose of payment.

6. Suspicious activity reporting

An employee who suspects that a transaction involves funds from illegal activity, is designed to evade reporting requirements or has no apparent lawful purpose must submit an internal referral the same day. The BSA/AML Officer decides whether to file a Suspicious Activity Report (SAR).

- A SAR must be filed no later than 30 calendar days after the date the Bank first detects facts that may constitute a basis for filing. If no suspect has been identified on the detection date, the Bank may take an additional 30 days to identify one, but not more than 60 calendar days in total.
- For ongoing activity the Bank reviews the activity every 90 days and, if it continues, files a continuing activity SAR within 120 calendar days after the date of the previous SAR.
- A SAR and the fact that one was filed are confidential. No employee may tell the customer, or anyone involved in the transaction, that a referral or a SAR exists. Disclosing a SAR is itself an offense.

7. Records and training

Identification records are kept for 5 years after the account is closed. Transaction records, currency transaction reports, SARs and the supporting documentation are kept for 5 years from the date of filing. All employees complete Anti-Money Laundering training within 30 days of hire and once a year after that. Branch managers and the loan servicing center receive additional training on structuring, elder financial exploitation and fraudulent identity documents.

8. Independent testing and roles

An independent party tests this procedure every 18 months and reports to the Board Risk Committee. The BSA/AML Officer reports to the Chief Risk Officer, may not be removed without notice to the Board, and has authority to close an account, decline a customer, file a SAR or freeze an account that matches a sanctions list without the approval of a line manager.